

#XYPLIVE

Practice Management

Successfully Scaling a Multi-Advisor Firm



AJ Ayers and Shane Mason_(we have some designations, promise)

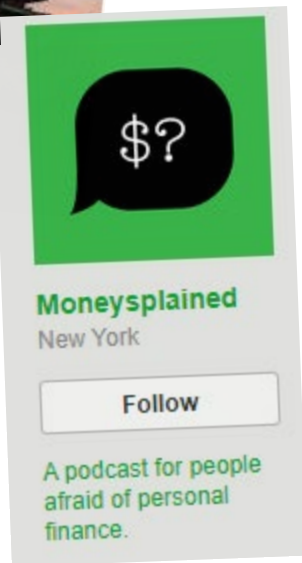
Brooklyn FI

What to expect

- The phases of Brooklyn FI as software releases
 - Brooklyn FI 1.0
 - Brooklyn FI 2.0
 - Brooklyn FI 3.0
- In each phase
 - Takeaway (The big thing)
 - Biggest challenge
 - Personal issues
 - Service model
 - Work/life balance
 - Game-changing technology
 - Biggest wins
 - Biggest fails
 - Action!
- Q&A

#XYN LIVE

MASON CPA
CFP



= **BKFi**

#XYRLIVE

Facts About Brooklyn FI

- *Founded 2017*
- *Financial Planning niche: tech professionals with equity compensation*
- *CAS niche: creative business owners + psychologists*
- *Services offered*
 - *Financial planning (retainer)*
 - *Investment management (in addition to retainer, % of assets)*
 - *Tax preparation for planning clients only*
 - *Bookkeeping and business advisory*

2017-2019

Brooklyn FI 1.0

August 2017- December 2019

Employees: 4

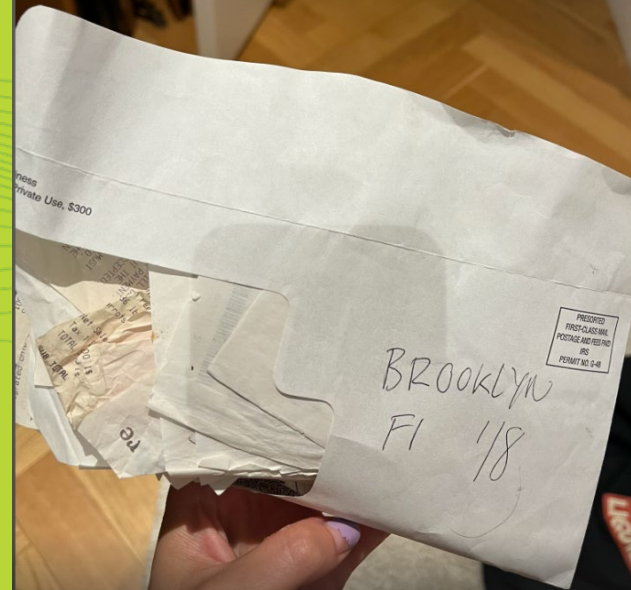
Number of financial planning households: 41

AUM: \$2,000,000

#XYNLIVE

2017-2019

By the Numbers



#XYN LIVE

The Early Years



#XYNLIVE

Takeaway

- *What type of firm do you want to be?
Pick a niche, a service model and throw everything at the wall and see what sticks.*

Biggest challenge

- *Deciding on a business model*
- *Deciding what to charge (this is still a WIP)*
- *Combined years of experience working at an RIA: 0*
- *Existing book of business: Zilch (a handful of existing tax clients did come over)*

Personal issues

- *How can you afford this/make this work*
- *Living on rice and beans after making 6 figures elsewhere*
- *Quitting your day job (that you didn't hate)*
- *Building trust in the other partner*
- *AJ- extreme impostor system, trying to prove myself*

Service model

- *Low monthly fees and separate tax prep business to pay the bills*
- *Help creatives (turtles on the back)*

Work/Life balance

- *There was no work/life balance*
- *Fear of not being able to survive*
- *Saturdays + 9pm dinner in the office*

Game changing technology

- *Wealthbox + Charese Spiller teaching us automation*
- *Right Capital*
- *Calendly*

RightCapital 

 **Wealthbox**

 **Calendly**

#XYPNLIVE

Biggest wins

- *Signing 164 clients in our first two years of existence*
- *Implementing Traction + EOS (incorrectly, but effectively)*
- *Learning to trust each other*

Biggest fails

- *Convincing ourselves managing client assets did not add value*

Action

- *Define where you're going. If you don't have a 5-year plan, make one.*
- *Find a business partner or a mastermind group or a business coach, probably all three.*
- *It's okay to undercharge for your services when you're starting from 0 :) but set a calendar reminder to raise your fees in month 12.*

2020-2021

Brooklyn FI 2.0

January 2020 - December 2021

Employees: 17

Number of financial planning households: 278

AUM: \$120,000,000

#XYPLIVE

Figuring it Out



#XYNLIVE

Takeaway

- *Automation needs to be built into your DNA*
- *EOS (Traction!) rules*
- *Hiring is so hard, do it sooner than you think*
 - *Hiring takes TIME, the job posting needs time to circulate (at least 30 days)*

Biggest challenge

- *Hiring our first advisors*
- *Dealing with constantly fluctuating margins*
- *Not understanding capacity*

Personal issues

- *AJ's unexpected health-related absence during tax season*

Service model

- *Niche switch up*
- *Automating processes and scaling a service business*
- *Adding custody*
- *Really understanding our ideal client*

Work/Life balance

- *Getting better!*
- *Hiring contractors*

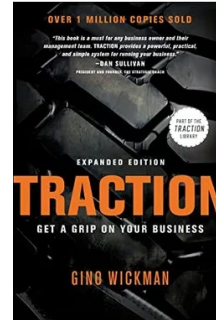
Game changing technology

- *Intuit Practice Management*
- *Zapier*
- *Lacerte*
- *EOS*
- *Angie Herbers (not tech, but game-changing)*

zapier

intuit
Practice Management

Lacerte®



#XYNLIVE

Biggest wins



- *PPP and Covid nightmare - we survived and it was a period of stellar growth for us*
- *Figuring out how to manage assets*
- *Crossing 100m AUM + SEC registration and audit three months later*
- *Starting the Liquidity Event Podcast*
- *Kinder Hawaii EVOKE training*
- *Finding a director of planning*
- *Hiring a business coach to keep us focused on growth and help solve complex employee issues*

Biggest fails

- *Firing employees*
- *Tax mistakes - losing track of projects, and handling difficult employees*
- *Miscommunication of expectations for new employees*
- *PTO policies unclear and underappreciated*



Brooklyn FI - Weekly Profile Activity

[Go to Profile](#) | [Go to Employer Center](#)

You are receiving Company Alerts about recent activity on your profile.

[Alert Settings](#)



“Awesome start up company!”

Thu, Aug 4

Pros – Their Benefits are great. The staff is very friendly.

Cons – Tries to fix every problem with new software.

Anonymous Employee at Brooklyn FI

#XYRNLIVE

Action

- *Get your employee policies in place NOW, before you have employees*
- *Processes are everything! Have them! Document them!*
- *EOS is not for everyone but at least have a decision-making framework that keeps you on a regular schedule*

2022 & onwards

Brooklyn FI 3.0

January 2022 - Present

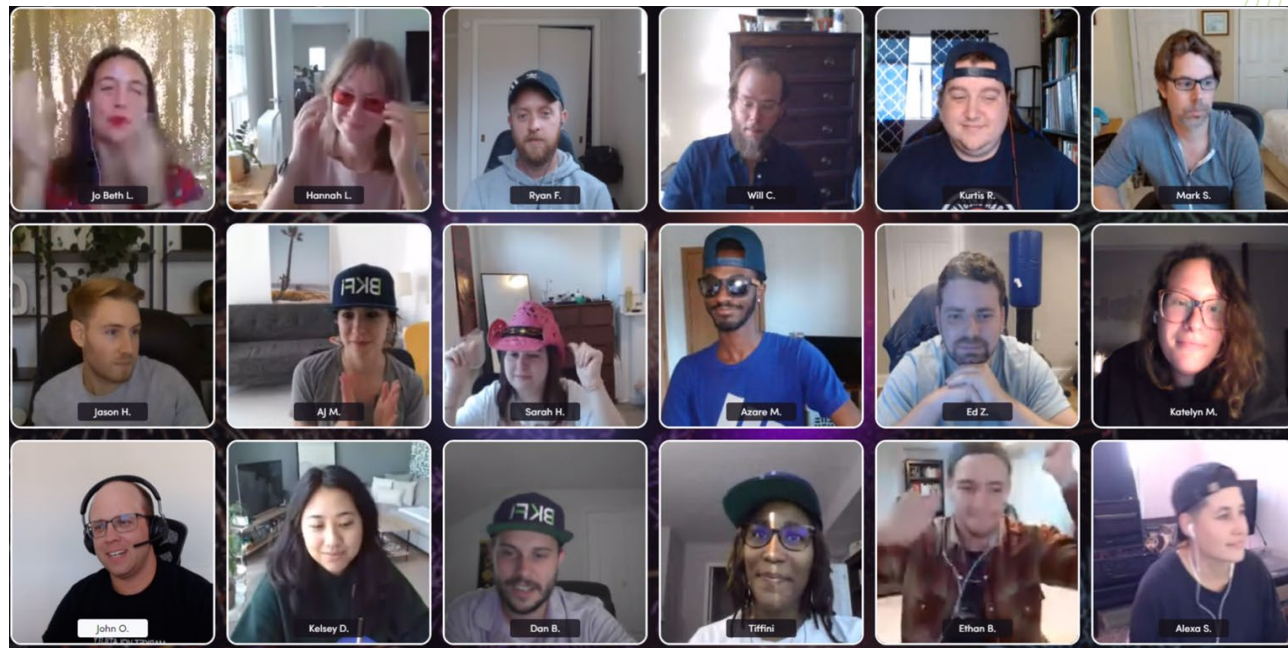
Employees: 21

Number of financial planning households: 330

AUM: \$140,000,000

#XYPLIVE

The Rocketship!



#XYNLIVE

Takeaway

- *Get the right people in the right seat*
 - *Hire a coach to help you build compensation tables and career tracks*
 - *People that seem great may not work out*
- *Your people are everything - make sure they follow the process though!*

Biggest challenge

- *Compliance becoming a bigger part of the picture*
- *Hiring and retaining staff*
- *What we do is HARD - this is a difficult niche that really smart planners struggle with*
- *Building middle management that cares*
- *Maintaining culture in a remote setting*
- *Taking ourselves out of client relationships*
- *Complexity/capacity planning for the whole company*
- *Market conditions and drying up of the IPO market (literally our niche)*

Personal issues

- *Constantly doing things that you're terrible at because you've delegated your core skillset*
- *Burnout*
- *Hiring/Management full time job on top of the 3 full time jobs we already have*

Service model

- *No more one-off tax*
- *Building a robust CAS practice*
- *Avoiding distractions*

Work/Life balance

- *Finally, sort - of*
- *At least we can live wherever we want now.*

Game changing technology

- *Lattice* - people management
- *Trainual* - training and documentation
- *Hubspot* - sales pipeline

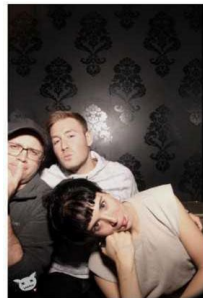


Biggest wins

- *Portland retreat*
- *Figuring out CAS*
- *GEM*
- *Career tracks*
- *Revenue share*
- *First maternity leave!*



We had
too much
fun



IVE

Biggest fails

- *Not hiring in time*
- *Client retention during a market correction*
- *Can't control the IPO market*
- *Can't find a remote hardware solution and tech support service that works for our size*

Action

- *Do capacity planning sooner than you think and get feedback from peers and/or coaches*

Looking to the future

#XPNLIVE

- 
- Adding additional partners
 - Exploring employee ownership
 - Expanding Operations
 - EOS Implementer
 - Focusing on what we want to focus on (writing/podcasting)
 - Getting an executive team in place
 - GEM
 - Marketing
 - Bringing on technical teams in automation and engineering

Right Tech / Right Time

Green, right time

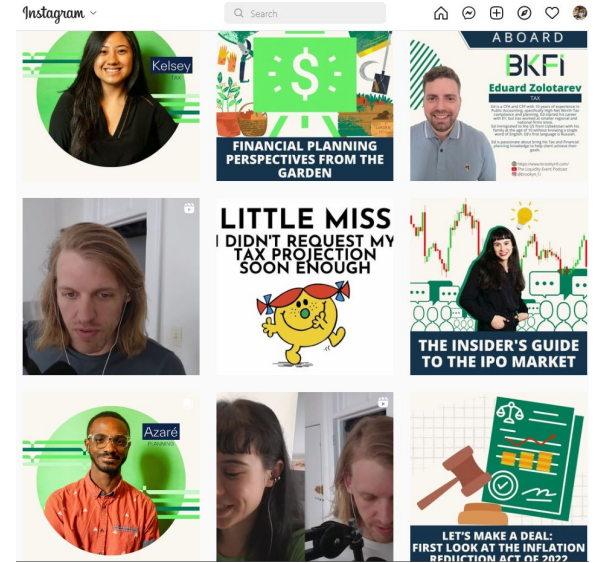
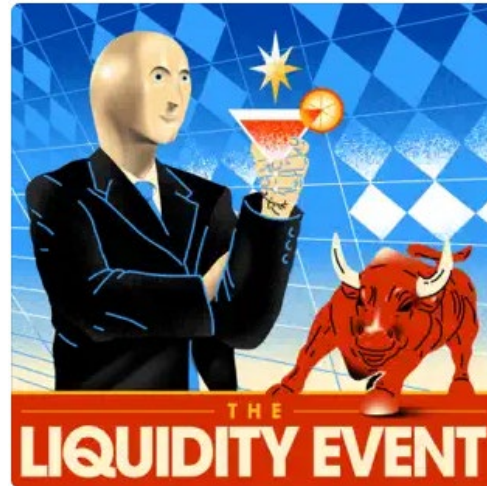
Red, too late

x = when we should have adopted

	Brooklyn FI 1.0		Brooklyn FI 2.0		Brooklyn FI 3.0
	2018	2019	2020	2021	2022
Years in Business	0.5	1.5	2.5	3.5	4.5
Number of Employees	4	4	7	16	21
Number of Financial Planning Relationships	41	81	134	278	334
CRM	x	Wealthbox			HubSpot
Workflows		Wealthbox	Tax Dome	IPM	Hubspot
Sales Pipeline			x		HubSpot
Client Data Intake	x	Precise FP	Cognito Forms		
Scheduling Software	Calendly				
Employee Management Platform				x	Lattice
Internal Process and Policy Documentation			Guru	Mighty Networks	Trainual
Dynamic Service Proposals			Can't Remember	Practice Ignition	HubSpot

Laugh w/ Us

*Follow us on
Instagram
@brooklyn_f.i*

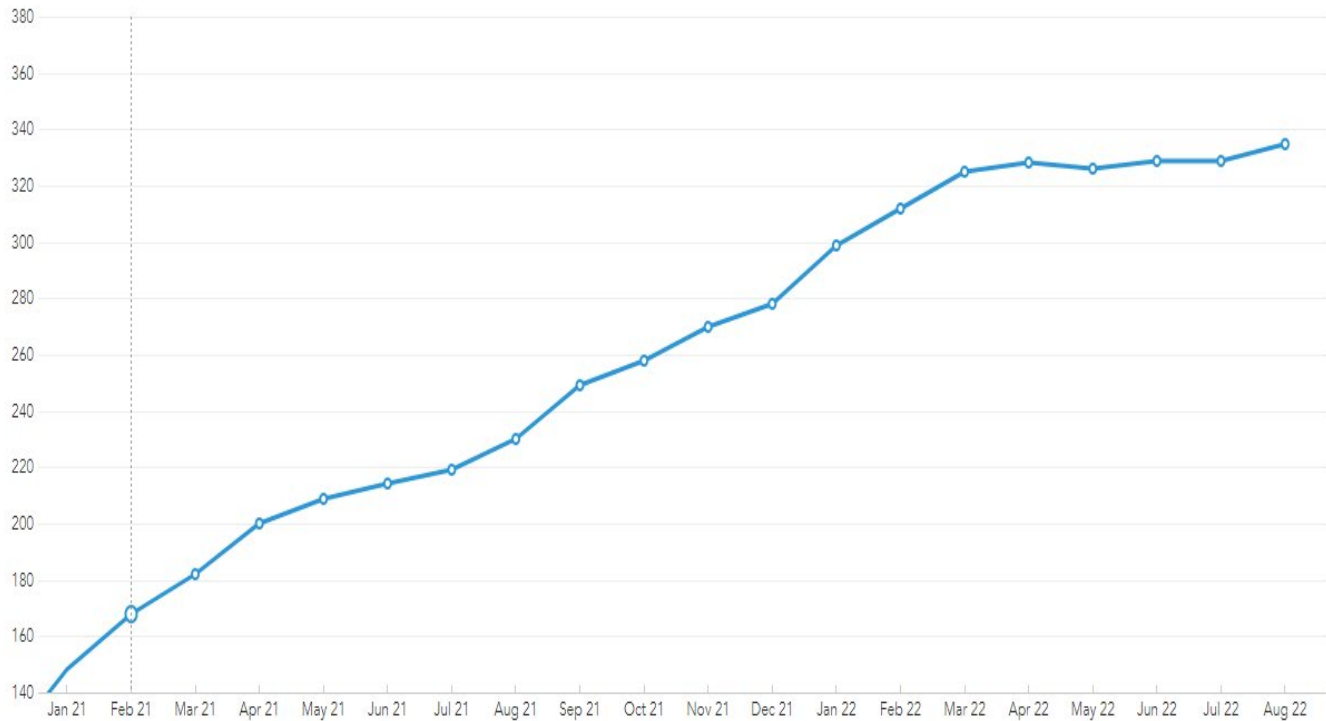


*Listen to our
podcast! NOT
SUITABLE FOR
KIDS!*

#XYRNLIVE

Math

#XYPNLIVE



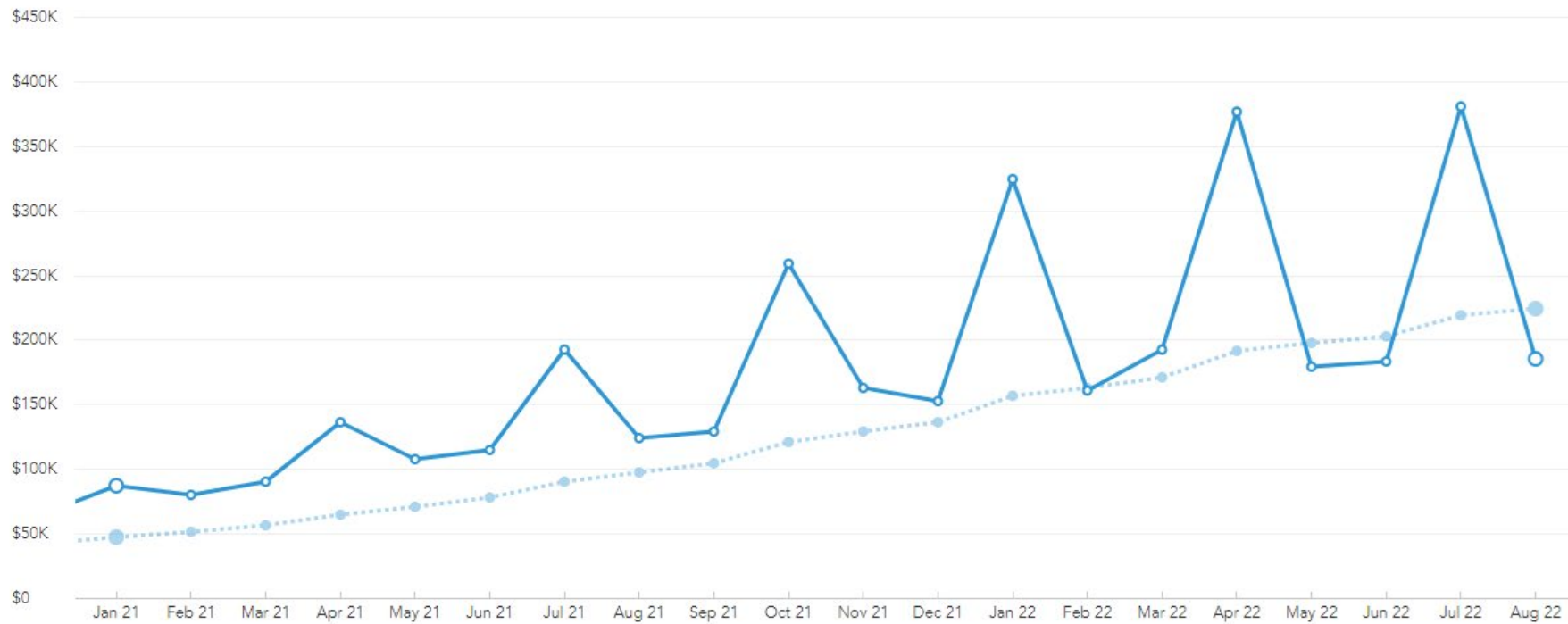
Number of Clients - FP

Jan 2021	148
Feb 2021	168
Mar 2021	182
Apr 2021	200
May 2021	209
Jun 2021	214
Jul 2021	219
Aug 2021	230
Sep 2021	249
Oct 2021	258
Nov 2021	270
Dec 2021	278
Jan 2022	299
Feb 2022	312
Mar 2022	325
Apr 2022	328
May 2022	326
Jun 2022	329
Jul 2022	329
Aug 2022	335

Total Client Count

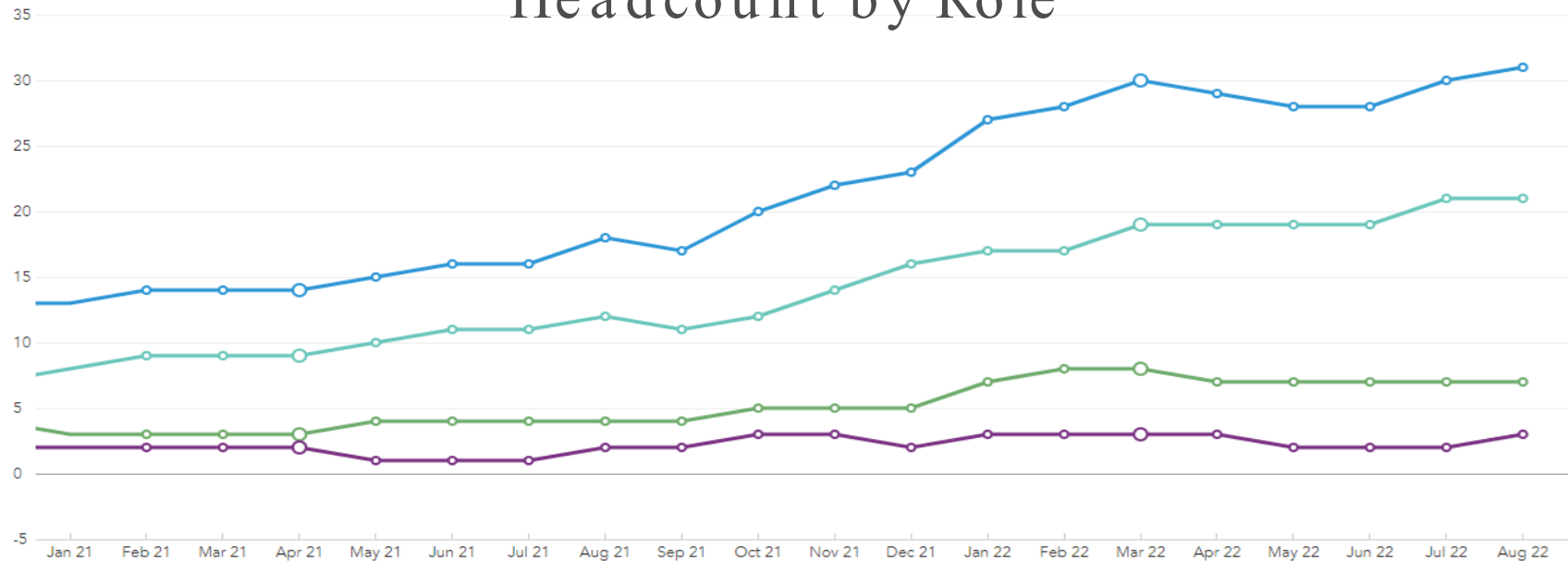
#XYN LIVE

Revenue + 12 month Rolling Average (2021 to 2022 YTD)



#XYN^{TV}LIVE

Headcount by Role

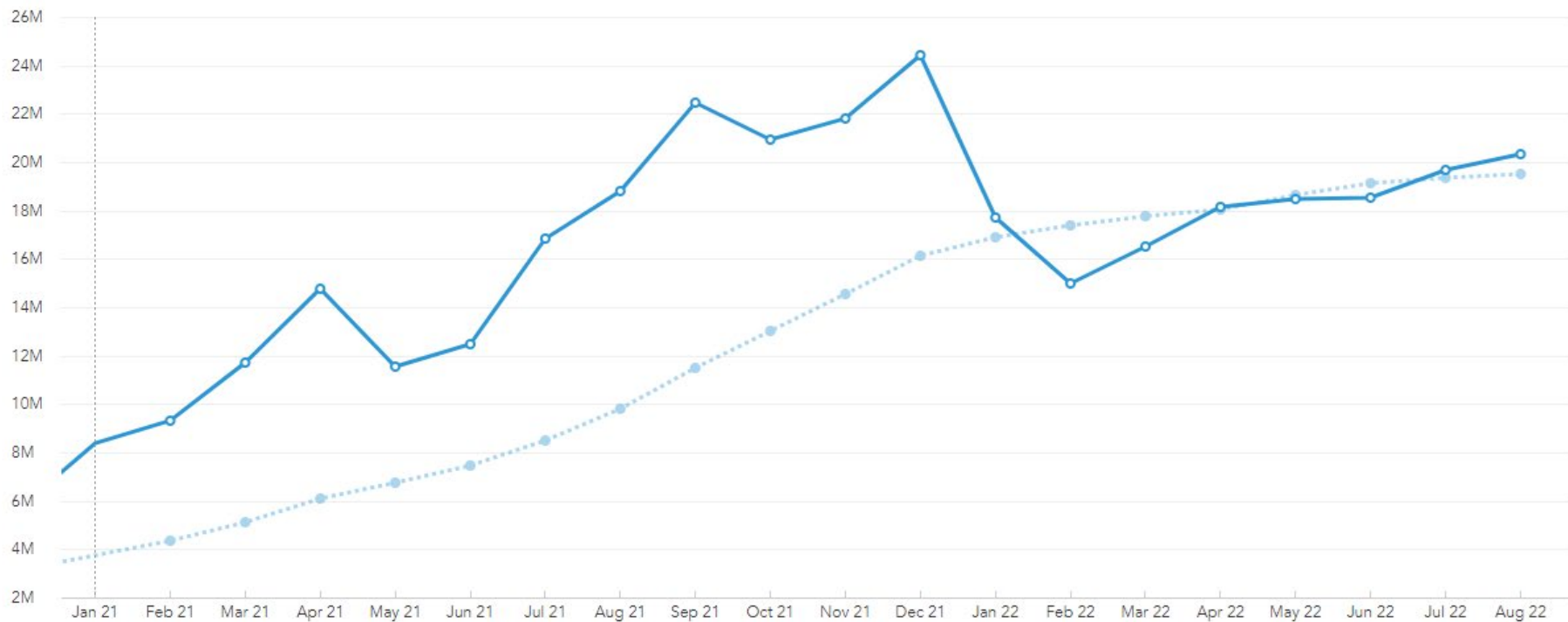


Headcount total

Number of Tax Managers

No. of Staff

No. of Advisors



AUM per Professional

#XYNLIVE

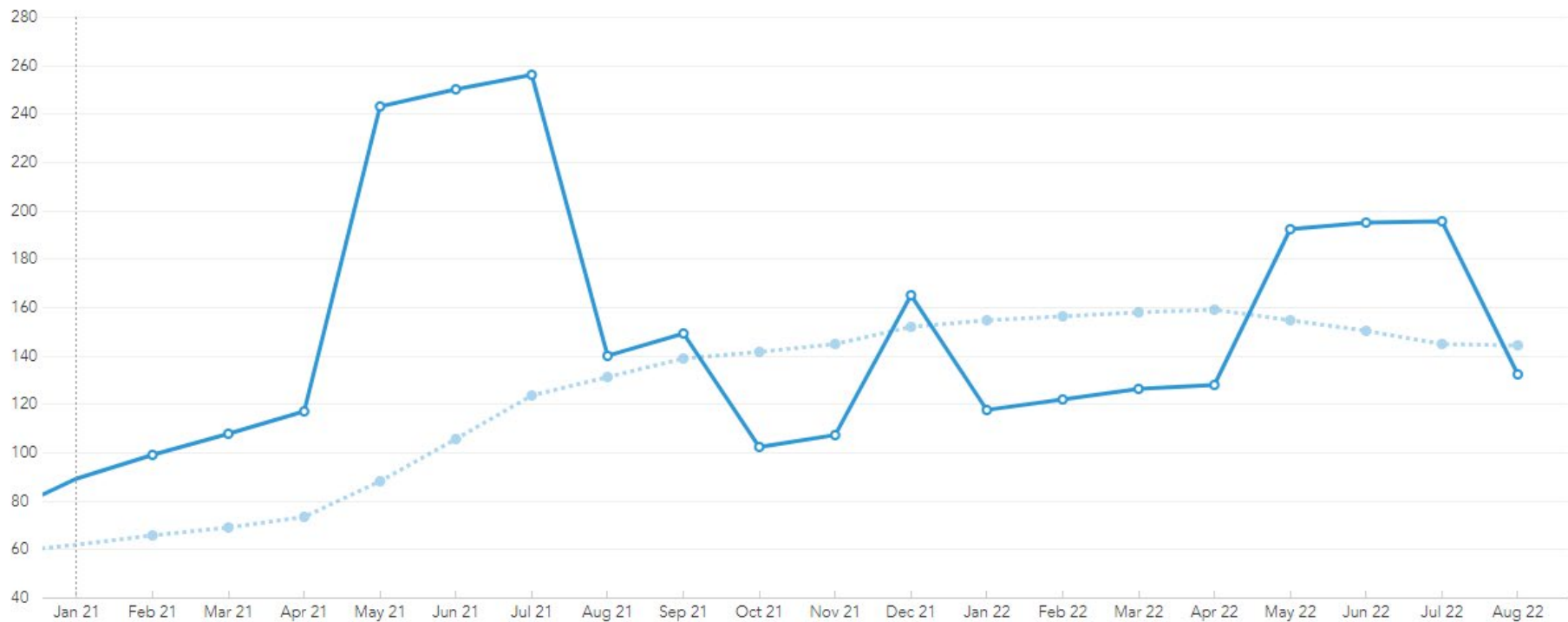


Revenue per Professional



Clients per Advisor

#XYPLIVE



Clients / Tax Manage

#XYN^{LIVE}

#XYPLIVE

What questions do you have?

Thank you!



AJ Ayers + Shane Mason

Brooklyn FI

www.brooklynfi.com

#XYPNLIVE

One Last Thing

Please complete
a *quick survey*

- Visit the mobile app to rate this session
- Just 3 questions!